# *Conference Call Notes: US Politics Update with Derek Theurer*

送信者: EG United States 受信日時: 2026-10-23 05:46

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US Politics Update with Derek Theurer

22 Oct 2026 16:43 EDT Listen to the recording

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The US is likely to push ahead to finalize bilateral trade deals — especially with Mexico, Canada, and China — in 2027.
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A reconciliation bill passing in the “lame duck” session of Congress after the midterms faces long odds given the short time frame and sentiment of members who have already lost their seats in the midterm elections.
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The debt limit is more likely to be dealt with next year on a bipartisan basis, with Democrats pushing for the reversal of Medicaid cuts, SNAP benefits, and Affordable Care Act (ACA) premium tax credits as the price of their votes.

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Speakers:

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Jon Lieber, Head of Research and Managing Director for the United States, Eurasia Group
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Derek Theurer, Partner, Venable LLP; former Acting Deputy Secretary and Chief of Staff, U.S. Treasury

The Administration's Unfinished Agenda

The defining operational feature of the second Trump administration has been speed, and Theurer expects that mandate to accelerate rather than plateau in early 2027. With President Donald Trump entering what Theurer characterized as potential "legacy mode" in his final two years, senior officials who have been with Trump throughout are expected to push their agendas as far as possible before the term ends. A significant burst of activity is more likely than drift.

Trade: Bilateral Deals, Durable Tariff Architecture, and China Stability

Trade is the top unfinished priority. Despite significant activity since April 2025, the administration has not yet achieved the deal progress Trump wants. He expects a refocus in 2027 on moving specific bilateral agreements forward — with Mexico and Canada as the most advanced, though Canada faces political complications on both sides of the border. Brazil is on the radar and will get easier after elections thereTheurer placed Canada deal completion as more likely a 2027 event than a 2026 one.

On China, Theurer described 2026 as "a successful year" — commitments largely on track, no major disruption. He attributed this to Secretary Bessent's posture of de-risking rather than decoupling and to positive working relationships at multiple levels, including between Bessent and his Chinese counterpart He Lifeng. One notable episode — a shortfall on soybean commitments — was resolved through dialogue rather than escalation. A long-term deal with China remains "likely challenging," but incremental progress and stability are the expected trajectory. Tariffs remain permanently on the table as a backstop.

A potentially underappreciated development: USTR is building the basis for a Section 301 overcapacity action. Theurer flagged this as potentially more durable than the emergencyorders the administration started with — harder for any future administration, Republican or Democrat, to unwind — and said USTR is taking the time to get it right.

Critical Minerals and AI: Structural Vulnerabilities Being Managed

On critical minerals, Theurer acknowledged long lead times for domestic development and pointed to Bessent's rally of G7 partners roughly a year ago as the more near-term solution: presenting a unified front and developing more reliable allied supply chains. Domestic resource development remains a longer-term play.

On AI, Theurer described Treasury's cyber risk focus as an extension of its longstanding financial sector work via the Financial Stability Oversight Council (FSOC), though he noted the acceleration of AI tools has raised the potential scope of systemic risk. He expressed personal confidence in the U.S. government's defensive cyber capabilities but acknowledged the Hill is still working out where the center of gravity lies on AI legislation — bipartisan legislation has not yet emerged. On the economic side, he argued that a Chinese AI model does not necessarily threaten the U.S. investment thesis, as users globally will face a trust calculus that favors American-led AI.

Fiscal Policy: Lame Duck Constraints and the Debt Limit Clock

For the “lame duck” session of Congress, Theurer's base case is narrow: government funding extension gets done; the National Defense Authorization Act (NDAA) is more likely than not but not a certainty; a broader reconciliation bill faces long odds given the calendar and the likelihood of cranky post-election members unwilling to do overnight vote-a-ramas and push through a party-line vote. The $5 trillion debt limit increase embedded in the 2025 reconciliation bill was designed to last through the 2026 election but not through the full second term — a reckoning arrives in 2027, as this is unlikely to be dealt with in the lame duck.

If Democrats take the House, the debt limit negotiation becomes a bipartisan exercise. Theurer's expectation: any deal will be a fairly clean extension through the end of the President's term, with Democrats extracting relief on Medicaid cuts, SNAP, and Affordable Care Act (ACA) premium tax credits as the price. Tax provisions from the One Big Beautiful Bill are unlikely to be unwound. Grand bargains are not expected — opportunistic deals in late Q1 or Q2 2027 is the more realistic scenario.

On the structural deficit, Theurer assessed Bessent's 3-3-3 plan — 3% growth, 3% deficit-to-GDP, 3 million additional barrels of oil per day — as an "incomplete" rather than a failing grade. Interest on the debt alone is running at approximately 3% of GDP, and the deficit stands at roughly $1.9 trillion. No silver bullet has been identified. Bessent consistently links deficit reduction to growth; Trump, in Theurer's framing, does not treat fiscal balance as a top personal priority, though OMB Director Vought does.

The Fed: Warsh Has Room, For Now

Theurer offered that Kevin Warsh has a strong personal relationship with the President — noting Trump reportedly had some regret choosing Powell over Warsh years ago. Warsh has signaled his intent to restore the Fed's core mandate and credibility on rates. Theurer observed that a recent rate increase generated no significant blowback and characterized Warsh as someone who will call balls and strikes, including on himself.

Key Watch Items

1.
China trade dialogue, December–January: The pause expires around January 10; watch whether commitments hold and whether the dialogue produces visible progress or renewed tension.
2.
Canada deal timeline: Political dynamics on both sides complicate near-term closure; monitor whether engagement at the principal level accelerates as it did earlier with Mexico.
3.
Section 301 overcapacity action: USTR is building the legal record; timing is a bandwidth question, but an action here would represent a structurally durable shift in the tariff architecture.
4.
Debt limit: The $5 trillion increase expires sometime in 2027; watch post-midterm member sentiment and whether a lame duck attempt materializes or the fight is deferred to Q1–Q2 2027.
5.
Fed independence and the Warsh-Bessent dynamic: Watch for any signs of friction as Warsh pursues his mandate restoration agenda against a White House that has expressed strong preferences on rates.
6.
Bessent's 3-3-3 scorecard: Growth and deficit-to-GDP targets are off track; watch for any formal deficit reduction framework from Treasury/OMB and whether interest rate trajectory changes the math on the 10-year budget outlook.

What Clients Are Asking

Canada deal timeline: Clients pushed on whether the political bad blood in Canada is a real obstacle. Theurer acknowledged the friction but argued both countries are simply going through the normal lifecycle of a hard negotiation — testing boundaries, assessing leverage — and expressed confidence a path exists, with 2027 the more realistic landing zone.

China: does the U.S. have real leverage or does mutual dependency create a stalemate? Theurer's answer: both sides have genuine pain points that only emerge under tariff pressure, and that process of discovery is ongoing. Stability is the outcome of neither side believing escalation is in its interest — not a sign that one side has capitulated.

Debt limit mechanics in a divided government: Clients probed whether Republicans might try to move a reconciliation bill in lame duck to avoid negotiating with Democrats. Theurer said the odds are long — calendar constraints and member sentiment are both problems — and that a bipartisan deal in early 2027 with Democratic asks on Medicaid, SNAP, and ACA credits is the more likely path.

Treasury's tools on rates and debt management: Clients asked how much Bessent can actually influence the issuance mix and interest rates. Theurer noted the tools are real but limited — liquidity support has roughly doubled recently, and Treasury General Account (TGA) deployment is under discussion — and flagged tension between these tools and where Warsh wants to take the Fed's balance sheet.

Sanctions outlook on Russia: Clients asked directly whether sanctions relief or additional sanctions are more likely in 2027. Theurer declined to call it, stating the direction will come from the White House based on what it is trying to accomplish, with OFAC in execution mode.

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